

BACKGROUND OF THE DEVELOPMENT OF BEHAVIORAL INVESTOR TYPES

When I first began researching behavioral finance in the early to mid-1990's, my intention was to simply do a better job for my clients by creating portfolios that compensated for the irrational investor behaviors I witnessed. Later, I began writing on the subject in 1998, after seeing the benefits of applying behavioral finance research to my advisory practice. At that time, my intent was to (hopefully) make a contribution to my industry and the clients we serve by demonstrating the benefits that behavioral finance can deliver. My thought process then was relatively simple: doesn't it make sense that people who behave differently (i.e., have different personality types) might want to invest differently? After doing some original research on this topic, and publishing a paper on it entitled "A New Paradigm for Practical Application of Behavioral Finance: Creating Investment Programs Based on Personality Type and Gender to Produce Better Investment Outcomes" in the *Journal of Wealth Management*, I was quite satisfied; but that satisfaction was short-lived. Through the process of educating myself and others on behavioral finance, I was indeed able to help my clients understand and improve their investor behavior. However, I quickly realized that if behavioral finance were to be used by a large number of FMPs to create better investment portfolios, three key challenges needed to be tackled.

First, financial advisors needed a guidebook to teach them the basics of what behavioral biases were and how to diagnose their client's irrational behaviors. Without an understanding of the basics, behavioral finance would not be used. Second, even if advisors could diagnose a client's biases, they needed to know what to do with that information. For example, given a certain set of behaviors, should they attempt to change the behavior of the client to match an allocation they think is right for the client, or should they change the allocation to match the client's behavior? Third, the industry needed a common behavioral finance language. Behavioral biases, as then articulated, were not user-friendly because there was not a widely accepted "industry standard" language for describing and communicating these biases to other advisors or to clients.

So, in 2002, I set out to meet these challenges. The first step was the publication of an article in the *Journal of Financial Planning* (JFP) entitled "The Future of Wealth Management: Incorporating Behavioral Finance into Your Practice." In this article, readers were given some practical steps to take to adjust a client's asset allocation for irrational biases they encountered, assuming they could recognize irrationally biased behaviors in their clients. The ability to recognize biases, of course, was a big assumption; I noted in